

Council Agenda Item 26-0731R



MEETING DATE: 08/24/2026

SUBJECT/TITLE: RESOLUTION AUTHORIZING ACCEPTANCE OF A COMMUNITY PROJECT FUNDING AWARD FROM THE U.S. DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT IN THE AMOUNT OF \$1,750,000 FOR REGIONAL LIBRARY AND COMMUNITY HEALTH SERVICES PLANNING.

SUBMITTED BY: Allison Brooks, Project Coordinator

RECOMMENDATION: Approve

BOARD/COMMISSION/COMMITTEE RECOMMENDATION: N/A

PREVIOUS COUNCIL ACTION: N/A

BACKGROUND: This resolution authorizes the acceptance of a Community Project Funding Award from the U.S. Department of Housing and Urban Development (HUD) in the amount of \$1,750,000 for public library and community health services planning. There is no local match required for this award.

The Community Project Funding program is funded by congressionally directed spending. This award was authorized by the Fiscal Year 2024 Consolidated Appropriations Act. Funds are administered by HUD's Office of Community Planning and Development through their Economic Development Initiative. The award will support library and community services planning through two projects: Project 1 – Library Concept and Project 2 – Health Center Concept.

Development of the Library Concept will be led by the City of Duluth and will include partnership with neighboring communities to explore the services, benefits, needs and opportunities for the delivery of libraries services locally and throughout the region. Funds will support professional services that will explore opportunities, lead community engagement activities, develop preliminary designs for proposed alternatives, and conduct feasibility assessments of facility and programmatic options. These activities will aim to create an actionable, community-supported and expert-vetted plan to expand reach and capacity of library services for Duluth, while also exploring how to more impactfully partner with neighboring communities. This project will evaluate alternatives that may or may not lead to physical improvements or alterations to existing facilities and/or plans for a new library facility, both of which would consider how local library services intersect and enhance the quality of life regionally. It is anticipated that up to \$400,000 would be used for assessment, planning and community engagement activities, and design development then \$1,050,000 would be available for implementation of recommendations.

The Health Center Concept will be developed through a \$300,000 subaward to the Lake Superior Community Health Center (LSCHC). For over 50 years, the LSCHC has served as a vital source of care for uninsured, low-

income, and publicly insured individuals in the Duluth and Superior region. Designated as a federally qualified health center, LSCHC offers universal access to affordable, patient-focused integrated family medicine for adults and children, dentistry, behavioral health, and chiropractic care. The existing LSCHC facility is undersized, and the site cannot accommodate expansion, both factors limit LSCHC's ability to meet rapidly growing regional needs. Relocation of the LSCHC facility generates an opportunity to partner with multiple community-based organizations to improve efficiency and efficacy of programming and care supporting overall community health and wellbeing. Funds from this project will support professional services to lead stakeholder and community engagement activities, develop preliminary designs for proposed alternatives, and conduct feasibility assessments of facility and funding options. These activities will aim to identify a preferred path for the development of a new facility in western Duluth anchored by the LSCHC with opportunities to collaborate with other community-oriented service providers, such as hosting an out-of-school-time youth programming provider or other partners that may be identified during the planning process.

BUDGET/FISCAL IMPACT: This award of \$1,750,000 requires no local match. These funds do not obligate the City to future action, such as alterations to or construction of facilities. Instead, these funds will fully support the exploration and evaluation of alternatives that would improve, sustain and potentially expand library services and community health services. There is no local match required. Existing staff will support implementation of this award.

OPTIONS: Authorize acceptance of the award to allow the regional library and community health services planning to proceed in alignment with the congressionally directed spending, or decline the award at this time to either forfeit the award or change the use of funds (limited options for repurposing funds).

NECESSARY ACTION: Authorize acceptance of the award.

ATTACHMENTS: Exhibit A – Grant Agreement